

EVALUATION COMMITTEE REPORT

T1628 Enhanced Motor Vehicle Inspection Maintenance System

Bid Solicitation: 20DPP00471

STATE OF NEW JERSEY

November 22, 2021

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<i>NJSTART Crosswalk</i>	
<i>NJSTART</i> Term	Equivalent Statutory, Regulatory and/or Legacy Term
Bid/Bid Solicitation	RFP/Solicitation
Bid Amendment	Addendum
Change Order	Contract Amendment
Master Blanket Purchase Order (Blanket P.O.)	Contract
Offer and Acceptance Page	Signatory Page
Quote	Proposal
Vendor	Bidder/Contractor

*The following Evaluation Report has been completed utilizing *NJSTART terminology*

I. SUMMARY

Date:	November 22, 2021
Bid Solicitation:	T1628 Enhanced Motor Vehicle Inspection Maintenance System 20DPP00471
Master Blanket Purchase Order (Blanket P.O.) Term: Extension(s):	Base Term: Six (6) Years Four (4) One-Year extension period options
Using Agency:	Motor Vehicle Commission Department of Environmental Protection
Recommended Vendor {Bidder}:	OPUS Inspection Inc.
Total Blanket P.O. Value:	\$199,776,338

II. OVERVIEW

A. PURPOSE AND INTENT OF THE PROCUREMENT

This Bid Solicitation was issued by the Procurement Bureau, Division of Purchase and Property (Division), Department of the Treasury on behalf of Motor Vehicle Commission (MVC) and the Department of Environmental Protection (DEP). The purpose of this Bid Solicitation was to solicit Quotes for implementing the next generation Motor Vehicle Inspection and Maintenance program (NGSystem). The Inspection and Maintenance (I/M) program is the mandatory periodic inspections of vehicles to assure compliance with standards established by the State and the federal government.

The intent of this Bid Solicitation was to award a Master Blanket Purchase Order (Blanket P.O.) to that responsible Vendor {Bidder} whose Quote, conforming to this Bid Solicitation, was most advantageous to the State, price and other factors considered. The State may award any and all price lines. The State, however, reserves the right to separately procure individual requirements that are the subject of the Blanket P.O. during the Blanket P.O. term, when deemed by the Director of the Division of Purchase and Property (Director) to be in the State's best interest.

This Bid Solicitation was classified as a sub-contracting set-aside for Small Business Enterprises (SBE) and Disabled Veteran-Owned Businesses (DVOB).

III. QUOTE SUBMISSION

A. OVERVIEW

On July 21, 2021, the Proposal Review Unit (PRU) received and opened three (3) Quotes from the following firms:

1. Applus Technologies, Inc. (Applus);
2. OPUS Inspection Inc. (Opus); and
3. Parsons Commercial Technology (Parsons).

B. INITIAL QUOTE REVIEW

The Quotes were reviewed for compliance with mandatory elements by the PRU and then released to the Bureau on July 22, 2021.

The Bureau found that the following Quotes met, and were in compliance with, all the mandatory requirements of the Bid Solicitation:

1. Applus; and
2. Opus.

The Bureau deemed the following Quote non-responsive for the following reasons:

1. Parsons

- a. The Bureau determined Parsons to be non-responsive due to the Source Disclosure Form. Parsons' submitted Source Disclosure Form stated that services would be provided in Canada. Specifically, Parsons cited that software development would be performed in Canada, for operational efficiency and cost reduction. The Bureau determined that these reasons are contrary to the legislative mandate of N.J.S.A. 52:34-13.2, and contrary to New Jersey State Standard Term and Condition 3.6 in the Bid Solicitation, which both state that, in a contract primarily for services, the services must be performed within the United States.

The two (2) remaining responsive Quotes were then further evaluated.

IV. EVALUATION METHODOLOGY

A. Overview

The Evaluation Committee

In accordance with Bid Solicitation Section 6.5, *Quote Evaluation Committee*, a Committee composed of three (3) voting members from the Motor Vehicle Commission, three (3) voting members from the Department of Environmental Protection, and 1 voting member from the Bureau was formed to evaluate the Quotes received. Two (2) non-voting members from the MVC, four (4) non-voting members from DEP, one (1) non-voting member from the Office of Information Technology (OIT), and two (2) non-voting members from the Bureau were also included. The Committee included the members listed below:

Voting Members

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Division of Purchase and Property

Non-Voting Members

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Office of Information Technology

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Division of Purchase and Property

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Division of Purchase and Property

The State Contract Manager for this Blanket P.O. will be:

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

The Committee was responsible for performing a technical and price evaluation of the responsive Quotes received. The focus of the Committee's technical review was on the Vendors' {Bidders'} demonstrated approaches to performing the requirements of the Scope of Work as specified in the State's Bid Solicitation. The Committee met to evaluate and technically score the responsive Quotes.

B. Technical Evaluation Methodology

Prior to the Quote opening date, the aforementioned representatives from the MVC, DEP, OIT, and the Bureau developed the criterion weights to be assigned to the Technical Evaluation of submitted Quotes. The established weights are set forth in the score sheet below. The Committee scored the Vendors' {Bidders'} technical Quotes using weights assigned to each of the

criterion within the three (3) evaluation criteria listed in Bid Solicitation Section 6.7.1, *Technical Evaluation Criteria*.

The total technical score was derived as follows:

1. Assigning a score from one (1) to ten (10) to each criterion, according to the scoring legend below:

9-10	Excellent
7-8	Very Good
5-6	Good
3-4	Fair
1-2	Poor
2. Multiplying the assigned score by the criterion weight, which produced a weighted score for each criterion.
3. The weighted score was totaled to derive the overall weighted score for the Quote. Voting members developed their technical scores based upon their independent analysis of the Quote, Committee discussions, and Committee deliberations.

EVALUATION CRITERIA	SCORE	WEIGHT	SUBTOTAL
a. <u>Personnel</u> : The qualifications and experience of the Vendor's {Bidder's} management, supervisory, and key personnel assigned to the Blanket P.O., including the candidates recommended for each of the positions/roles required;		10	
b. <u>Experience of firm</u> : The Vendor's {Bidder's} documented experience in successfully completing Blanket P.O. of a similar size and scope in relation to the work required by this Bid Solicitation; and		10	
c. <u>Ability of firm to complete the Scope of Work based on its Technical Quote</u> : The Vendor's {Bidder's} demonstration in the Quote that the Vendor {Bidder} understands the requirements of the Scope of Work and presents an approach that would permit successful performance of the technical requirements of the Blanket P.O.		80	
TOTAL SCORE		100	

C. Representative Technical Score Sheet

The Committee met on the following dates to review and consider each Vendor's {Bidder's} Quote to determine responsiveness and to provide technical scoring, review final pricing, and make a recommendation:

1. Tuesday, August 10, 2021;
2. Tuesday, August 17, 2021;

3. Wednesday, August 18, 2021;
4. Thursday, August 26, 2021;
5. Wednesday, September 1, 2021;
6. Friday, September 10, 2021; and
7. Monday, October 4, 2021.

V. TECHNICAL EVALUATION SUMMARY

The following table provides a summary of the total weighted and average scores for all voting Committee members combined for each of the three (3) evaluation criteria:

Vendor {Bidder}	Total Criterion A (Max 700)	Total Criterion B (Max 700)	Total Criterion C (Max 5600)	Total Technical Score (Max 7000)	Average Technical Score (Max 1000)	Ranking
Opus	510	500	3840	4850	693	1
Applus	510	490	3840	4840	691	2

VI. TECHNICAL EVALUATION SUMMARY NARRATIVE

The Committee used the evaluation criteria identified in Section 6.7 *Evaluation Criteria* of the Bid Solicitation, to score how well the Quote met the Bid Solicitation requirements.

The following technical narrative represents a summary of the findings of the Committee for the two (2) responsive Quotes, received from Applus and Opus. The narrative should be read as a summary, highlighting important Committee findings, which justified the technical score of the Quote.

Vendor {Bidder}: Opus

Technical Rank: 1

Average Technical Score: 693

Opus presented a well-organized Quote that ranged from “Good” to “Very Good,” that addressed the tasks and deliverables specified in the Bid Solicitation in a comprehensive fashion.

Criterion A

The Committee determined that Opus presented a Quote to be in the scoring range of “Very Good” for the criterion of *Personnel*, with an average non-weighted score of 7.29 on a scale of 1-10.

Opus proposed a team of highly skilled, experienced, and qualified key personnel for the management of the Blanket P.O. Opus submitted a Quote with a clear, detailed organizational chart that provided the Committee with a straightforward reporting chain for implementation and operations as requested by Bid Solicitation Section 4.4.4.2, *Organization Charts* (Opus Quote, PDF Pages 907-909). Per Bid Solicitation Section 4.4.4.3, *Resumes*, resumes for a project manager and a quality assurance manager must be submitted; the proposed project manager must have at least five (5) years of documented experience in I/M program implementation experience, and the quality assurance manager must have at least five (5)

years of documented experience. Opus proposed personnel that far exceeded the Committee's expectations and proposed two (2) project managers, one (1) for implementation and one (1) for operations.

The proposed implementation project manager has 45 years of professional experience and 31 years of I/M experience. Additionally, the proposed implementation project manager "has held management positions in [multiple] vehicle inspection companies such as Applus, ESP, Envirotec (now an Opus subsidiary), and Keating Technologies, playing key roles in the implementation and operation of more than 22 vehicle inspection programs" (Opus Quote, PDF page 957). The Committee noted that the proposed implementation project manager has "directly participated in Opus projects since 2010," and was the Senior Technical Consultant for both the Opus Connecticut and New York contracts (Opus Quote, PDF pages 957-960). The Committee agreed that the proposed implementation project manager is highly experienced and would assist in successful completion of Blanket P.O. requirements.

The proposed implementation manager/operations manager and assistant project manager has 44 years of professional experience and 33 years of I/M experience. The proposed implementation manager/operations manager has experience as a program manager with Opus' Rhode Island and Wisconsin contracts, and as implementation manager for a program in Pakistan (Opus Quote, PDF pages 987-991). The Committee took note of the assistant project manager's experience as a program consultant for Applus' program in Massachusetts in 2017, in addition to the experience as a Program General Manager for Opus' Metro Nashville, Tennessee, and Connecticut contracts. The Committee agreed that the proposed implementation/operations manager and assistant project manager is highly experienced and would assist in successful completion of Blanket P.O. requirements.

The proposed operations project manager has 21 years of professional experience and nine (9) years of I/M experience. The Committee noted that the proposed operations project manager "currently manages the I/M program in Davidson County for the Metro Nashville Public Health Department and the five (5) county Tennessee Department of Environment and Conservation in Middle Tennessee and Chattanooga areas" (Opus Quote, PDF Pages 962-966). The proposed operations project manager has been the program manager for the Tennessee program since 2016 and for the Metro Nashville program since 2015, and the Committee agreed that this experience would assist in successful completion of Blanket P.O. requirements.

The proposed quality assurance manager has 29 years of professional and I/M experience. The Committee noted that the proposed quality assurance manager has "more than 29 years of QA and field implementation experience with I/M equipment and software, including 27 years in software quality assurance testing and eight (8) years of managing large testing programs" (Opus Quote, PDF Page 1031). Additionally, the Committee noted that the proposed quality assurance manager has "provided quality assurance for Opus software in more than 30 different I/M programs in the US and internationally," including the Connecticut, Rhode Island, Tennessee, Pennsylvania, Georgia, Maryland, Colorado, and Illinois programs (Opus Quote, PDF Pages 1031-1039). The Committee agreed that the proposed quality assurance manager's experience in I/M far exceeds the requirements of the Bid Solicitation, and that this expertise would benefit the New Jersey program and aid in successful completion of Blanket P.O. requirements.

Additionally, the Committee noted that resumes for additional proposed personnel were included in Opus' Quote submission, and that some of the additional personnel are well-known in the I/M industry. The Committee noted that one (1) of the proposed consultants has 44 years of I/M experience, and "has

been evaluating, planning, implementing, and providing acceptance testing and other services for I/M programs since 1977” (Opus Quote, PDF Page 1080). The proposed Vice President has been working in the I/M industry for 27 years, and, as the Committee noted, previously worked for Parsons Environment & Infrastructure Group, SGS Testcom Inc., and Applus Technologies (Opus Quote, PDF page 918). The Committee agreed that the Vice President’s direct experience with Parsons would provide Opus with helpful knowledge of the New Jersey program. The last proposed additional personnel that the Committee took note of is the proposed inspector/tech training consultant, who “is recognized by the US Environmental Protection Agency as one of the foremost OBD-II experts, technicians, and trainers in the country” (Opus Quote, PDF Page 1076). The Committee agreed that having the three (3) aforementioned personnel working on the Blanket P.O. would assist in successful implementation, transition, and maintenance of an enhanced New Jersey program.

The Committee also noted that Opus provided back up staff for the required titles as requested by Bid Solicitation Section 4.4.4.4, *Backup Staff*, and that the backup staff exceed the required experience for project manager and quality assurance manager.

The Committee determined that the experience and expertise of Opus’ personnel far exceeded expectations and that the proposed personnel could successfully complete Blanket P.O. requirements.

Criterion B

The Committee determined that Opus presented a Quote to be in the scoring range of “Very Good” for the criterion of *Experience of the Firm*, with an average non-weighted score of 7.14 on a scale of 1-10.

Opus’ Quote demonstrated that they meet and exceed the Bid Solicitation requirements for experience with contracts of similar size and scope. Opus can “trace their lineage back to the first contractor-managed vehicle inspection program in the U.S. to 1976 with the centralized I/M program in Arizona” (Opus Quote, PDF page 1084). The Committee also noted that Opus has operations in 18 states and [in] countries on four (4) continents (Opus Quote, PDF Page 1084). The Committee noted that Opus has “designed and built an average of more than one (1) VID every year since 2000, including [their] recent, massive statewide system in New York which processes in excess of 11 million inspections per year” and agreed that this experience was evident in Opus’ comprehensive listing of contracts of similar size and scope (Opus Quote, PDF Page 1084).

Per Bid Solicitation Section 4.4.4.5, *Experience with Contracts of Similar Size and Scope*, the Vendor {Bidder} should provide a comprehensive listing of contracts of similar size and scope that it has successfully completed. The Committee noted that Opus provided 18 contracts that demonstrate Opus’ experience in centralized, hybrid, decentralized, and equipment only programs across the country. Additionally, the Committee noted that many of the contracts have been held by Opus for over 20 years, although that longevity does come from Opus acquiring companies such as Systech and Envirotest.

The Committee noted that Opus has centralized and hybrid program experience in Colorado, Maryland, Ohio, Metro Nashville, Tennessee, and Indiana; decentralized program experience in New York, Virginia, Rhode Island, Utah County, Wisconsin, and North Carolina; and equipment only experience in Oregon (Opus Quote, PDF Pages 1084-1122). The Committee noted that many of the aforementioned contracts held by Opus have been reawarded to Opus multiple times throughout the contract term, and that, on average, Opus has held the contracts for 21 years with an average of 1,981,539 inspections per year.

Additionally, the Committee noted that Opus has notable experience providing remote OBD, self-service emission kiosks, remote sensing vans, self-test OBD kiosks, and Mobile Emission Test Site (METs) vans. However, the Committee did note that Opus's Quote did not list experience with providing heavy-duty OBD testing. Pursuant to Bid Solicitation Section 3.24.2, *OBD Test*, in the NGSystem, Heavy Duty Gasoline Vehicles (HDGVs) and Heavy Duty Diesel Vehicles (HDDVs) also receive OBD inspections, and Bid Solicitation 3.29.3, *NGWorkstation Hardware Configurations*, all units shall be capable of performing light-duty and heavy-duty OBD inspections. While the Committee did note that Opus has a plethora of experience managing programs across the country, the Committee agreed that it would have been helpful to see heavy-duty OBD testing experience.

Pursuant to Bid Solicitation Section 4.4.4.5, *Experience with Contracts of Similar Size and Scope*, the Vendor {Bidder} must provide details of any negative actions taken by other contracting entities against them in the course of performing these projects including, but not limited to, receipt of letters of potential default, default, cure notices, termination of services for cause, or other similar notifications/processes. The Committee noted that Opus did provide information on receiving a letter of potential default in 2014 from New York. Opus stated that New York "perceive[d] a delay in Opus Inspection delivering software releases months after program startup" and that "[Opus] worked with [New York] to identify miscommunication and differences in specification interpretation and resolved the potential default situation amicably, cooperatively, and expeditiously" (Opus Quote, PDF Pages 1085-1086). The Committee noted that while Opus had received the notice of potential default, Opus and New York resolved the situation and Opus was recently awarded a new contract with New York for the next generation program, starting December 2022.

The Committee determined that Opus' comprehensive listing of experience of the firm indicates that Opus would be successful in providing next generation motor vehicle inspection and maintenance services to meet the Blanket P.O. requirements.

Criterion C

The Committee determined that Opus presented a Quote to be between the scoring ranges of "Good" and "Very Good" for the criterion of *Ability to Complete the Scope of Work based on its Technical Quote*, with an average non-weighted score of 6.86 on a scale of 1-10.

Opus provided a detailed and well-established process to manage, control, and supervise this Blanket P.O. with a thorough approach that demonstrates Opus' understanding of the requirements of the Bid Solicitation. Pursuant to Bid Solicitation Section 3.1, *Implementation*, the program shall be transitioned to the NGSystem within 12 months of the effective date. The Committee noted that Opus is committed to a full transition within 12 months to the NGSystem (Opus Quote, PDF Page 433). The Committee noted that Opus "intend[s] to deploy [their] Implementation Management Team to New Jersey within one (1) week of the Blanket P.O. effective date" to ensure that transition and implementation begins in a timely manner (Opus Quote, PDF Page 112). Opus stated that the mobilization and implementation management teams will be supported by the Project Management Office (PMO), which will be comprised of senior project managers (Opus Quote, PDF Page 63). The Committee noted that the mobilization and implementation management team members are already assigned, which should ensure a smooth mobilization period (Opus Quote, PDF Pages 112-128). Additionally, the Committee took note of Opus' intention to utilize a project management information system (PMIS), which consists of Microsoft Office 365, Microsoft Project, Azure DevOps, Sharepoint, and a document repository, to manage and track implementation and transition efforts (Opus Quote, PDF Page 142). Opus intends to utilize Azure DevOps for issue

management and tracking, and will ensure that this is available to the State Contract Manager for the management of issues throughout implementation and transition (Opus Quote, PDF Page 140). The Committee also noted that Opus addressed possible risks and mitigation efforts for those risks for mobilization and implementation, including delays in software development, loss of key personnel, and unanticipated delays in supply parts or components (Opus Quote, PDF Page 116). The Committee agreed that Opus recognizing potential delays and risks during implementation and already having a plan to mitigate those risks and delays would permit for more successful implementation within the 12 month timeframe.

Pursuant to Bid Solicitation Section 3.4, *Management Console*, a management console that provides access to the NGVID and data functions shall be provided, and pursuant to Section 3.4.1, *Dashboard*, a “dashboard” overview of the NGSystem operations that indicates current testing volumes, historical volumes, and other critical program operational information shall be provided. The Committee noted that Opus is proposing using VID Central, a web-based management console that has a responsive web design layout that provides a clear, consistent look across devices and will automatically transform the format to work on mobile devices or PCs (Opus Quote, PDF Page 453). Opus is proposing an integrated dashboard that will offer a comprehensive overview of I/M program statistics and an overview of NGSystem operations, including text and graphical representation of testing volumes, historical volumes, and additional critical program and operational information (Opus Quote, PDF Page 453). The Committee noted that Opus’ dashboard would provide a “Live Network Status” to users, which would provide quick stats, analyzer status, website status, software version distribution, alerts, and system response time (Opus Quote, PDF Pages 455-456). Additionally, the Committee noted that Opus’ proposed dashboard can be fully customized and personalized by individual State personnel and agreed that this would be useful for arranging dashboards to monitor specific program components (Opus Quote, PDF Page 457). The Committee agreed that Opus’ proposed management console and dashboard exceeds the requirements of Section 3.4, would benefit the New Jersey program, and liked that the web-based management console would be more sophisticated, user friendly, and use updated software. The Committee agreed that Opus’ proposed management console and dashboard would meet the requirements of the Blanket P.O. Additionally, the Committee agreed that all workstations, whether tablet or PC-based, having the same software, which is possible because of the web-based program, would be a big advantage for the program.

Pursuant to Bid Solicitation Section 3.13.2.1, *CIF Network and Lane Configuration*, the centralized inspection system currently utilized by the State includes 25 CIFs with a total of 107 inspection lanes. The Committee noted that Opus’ draft CIF Network and Lane Configuration Plan states that Opus will “retrofit all 25 CIFs in the network, including 95 of the 107 lanes in these facilities that are currently used for testing” based on observation that 12 lanes are currently unused for testing or are used for storage (Opus Quote, PDF Page 200). Opus will not retrofit those 12 lanes unless there is a need in the future, in which case they will outfit them with the same test equipment and infrastructure as the other 95 lanes. Additionally, the Committee noted that Opus will “retrofit the State’s three (3) SIF lanes with the same equipment as in the CIFs,” as required by Bid Solicitation Section 3.21.4, *Specialty Inspection Facilities (SIFS)* (Opus Quote, PDF Page 200). The Committee noted that Opus is planning on retrofitting lanes with tablet workstations, and the Committee agreed that retrofitting with tablets will be beneficial because it will provide more mobility to the staff and may help with increasing throughput in the lanes (Opus Quote, PDF Page 153). The Committee also noted that Opus is planning on retaining and incorporating into the NGSystem the undercarriage cameras, lifts and brake testers, security cameras and lane (web) cameras and system, and ticket gates, which, as the Committee agreed, would allow for a smoother transition and implementation process (Opus Quote, PDF Pages 202-203). Opus is also proposing the installation of automated license plate recognition (ALPR) cameras at the ticket gate of all but four (4) CIFs, which should

maximize the capture of wait times and will “ensure that more than 98 percent of the vehicles entering the queue are captured by the wait time system,” which, as the Committee agreed, should help Opus address common pitfalls and difficulties in the inspection process (Opus Quote, PDF Page 206). The Committee agreed that Opus’ plan to retrofit during transition and implementation would optimize the current infrastructure and would provide for a successful next generation testing program.

The Committee noted that Opus presented an understanding that demand for inspections fluctuate and that not all lanes operate daily by proposing to “operate an average of 78 CIF lanes daily or weekly [with] the other available lanes [being] opened for peak volume or to accommodate motorists during facility retrofitting” (Opus Quote, PDF Pages 556-557). The Committee agreed that Opus’ proposed plan of operating 78 lanes on average should allow for successful completion of Blanket P.O. requirements. Additionally, the Committee noted that Opus is proposing a two-position test lane configuration with an expected throughput of 26.87 vehicles per hour per lane (Opus Quote, PDF Page 541). The Committee agreed that the two-position configuration and expected throughput look good in theory and on paper, but that the expected throughput is a perfect world scenario and issues, such as safety inspections, problem vehicles, and retests could slow down throughput in a two-position lane configuration.

Pursuant to Bid Solicitation Section 3.14, *Workforce*, current qualified personnel should be offered employment under the NGSysstem. The Committee noted that Opus stated that they will, upon the Blanket P.O. effective date, “meet with SEIU Local 32BJ leadership” to negotiate and discuss the new program (Opus Quote, PDF Page 584). The Committee agreed that negotiating with union representatives and actively attempting to retain existing personnel could help with staffing retention and recruitment under the new program. Additionally, the Committee noted that Opus, pursuant to Bid Solicitation Section 3.15, *Facility Management*, will staff New Jersey CIF facilities with an average of 200 full and part time inspectors at 65% efficiency, and can achieve an 80% lane efficiency with as few as 181 inspectors with new training, experienced staff, and good management (Opus Quote, PDF Page 574). Opus stated that they would be successful in operating the program with 230-278 personnel, with 80% of that personnel employed full-time. Additionally, the Committee noted that Opus is proposing to have one (1) assistant facility manager at each CIF in addition to the one (1) facility manager required by Section 3.15, and agreed that this would be beneficial to successful operations of the program in addition to exceeding the requirement in Section 3.15 (Opus Quote, PDF Page 574). The Committee agreed that, depending on retention and recruitment, Opus might have difficulty maintaining the program but agreed that if Opus can retain and recruit a full workforce, there would be no issues.

Pursuant to Bid Solicitation Section 3.21.2, *Routine Maintenance and Operations of Buildings and Grounds*, routine service operations, maintenance, and repairs to the buildings and grounds of the CIFs and SIFs are provided at the Vendor’s {Contractor’s} expense. Opus stated that they will provide all building and grounds-related maintenance and repairs at the CIFs, and “will set aside designated funds in the amount of \$25,000 per SIF to provide preventative maintenance and corrective repairs that may be required” (Opus Quote, PDF Page 607). While the Committee did discuss that corrective repairs and preventative maintenance may exceed that amount, and that the \$25,000 per SIF provided during the Question and Answer period was an estimate, the Committee agreed that Opus was advised during the Question and Answer period that reimbursements for expenditures exceeding the estimate would not be provided and agreed that Opus is meeting the requirement of setting aside, at a minimum, \$25,000 per SIF. Additionally, the Committee noted that Opus will implement preventative maintenance program at CIFs and SIFs (Opus Quote, PDF Page 850). Further, Opus has a manufacturing facility in East Granby, Connecticut, where they will store frequently consumed spare parts. The Committee agreed that implementing preventative maintenance will help to avoid equipment failures, lane downtime, and equipment downtime, and that

having a manufacturing facility in a nearby state will decrease the downtime when equipment at CIF lanes need to be replaced or repaired.

Pursuant to Bid Solicitation Section 3.24.2, *OBD Test*, in the NGSystem, HDGVs and HDDVs also receive OBD inspections, and pursuant to Bid Solicitation Section 3.29.3, *NGWorkstation Hardware Configurations*, all units shall be capable of performing light-duty and heavy-duty OBD inspections. The Committee noted that while Opus did not list heavy-duty OBD testing under experience of the firm, Opus' proposed OBD Module, the IMclean DAD4 OBD II device, is designed to communicate with 99.9% of all 1996 and newer OBD eligible vehicles up to 14,000 pounds (lbs.) Gross Vehicle Weight Rating (GVWR) and 99.5% of OBD eligible vehicles with a GVWR of over 14,000 lbs. (Opus Quote, PDF Page 645). The Committee noted that the IMclean DAD4 will be built into the proposed tablet solution, and is California BAR DAD-certified (Opus Quote, PDF Page 645). The Committee agreed that while, as a firm, Opus did not list experience with providing heavy-duty OBD inspections, the proposed OBD module meets the requirements of the Bid Solicitation.

Pursuant to Bid Solicitation Section 3.26.4, *Mobile Teams*, NGWorkstations must be provided and installed for use by all Mobile Inspection Teams (MITs) and they shall be the same as the PIF/PFF NGWorkstations. Opus is proposing to "work with State mechanic(s) to determine the best solutions (tablet, PC, or laptop) and...[will] install and activate the NGWorkstation solution best suited for the mobile teams" (Opus Quote, PDF Page 636). The Committee discussed this proposed solution for the MITs, and agreed that having options for equipment solutions for the MITs will allow the State to determine what type of workstation works best in the mobile teams.

Pursuant to Bid Solicitation Section 3.28, *Equipment Payment Structure*, a per inspection transaction fee shall be charged to PIFs and PFFs and the Vendor {Contractor} may lock out any NGWorkstation for a PIF that is more than 90 days behind in paying, with notification to the State. Opus stated that they will notify the State whenever a lockout is applied due to past-due inspection transactions of more than 90 days (Opus Quote, PDF Page 638). The Committee took note of a proposed alternative payment option for PIFs and PFFs to avoid lockout and past due invoices. PIFs and PFFs can "pre-purchase inspection transaction fees in increments of one (1), five (5), 10, or 20" by purchasing directly through the NGWorkstation using ACH as a one-time purchase or recurring automatic replenishment, purchasing on Opus' website using ACH or credit card, or by calling the Help Desk and purchasing by ACH, credit card, or purchase order (Opus Quote, PDF Pages 638-639). Additionally, the NGWorkstation for that PIF or PFF will display the available quantity of transaction fees with a warning when quantity is low and replenishment is required. Opus stated that this program was implemented in New York, and that "this process has reduced the cumbersome non-payment lockout process by 99% and was highly preferred by test facilities for simplifying the payment process of reviewing invoices, issuing approvals, making payments, and eliminating the possibility of lockouts...reduc[ing] the oversight of the lockout concern" (Opus Quote, PDF Page 639). The Committee found this alternative inspection fee structure interesting, and determined that this would be a beneficial concept to include in the New Jersey program and to offer to PIFs and PFFs.

Pursuant to Bid Solicitation Section 3.39, *NGVID Overview*, all components of the NGVID must be supplied or developed. Opus' proposed solution is to utilize Amazon Web Services (AWS) cloud infrastructure for the NGVID/NGSystem. Opus will provide the infrastructure and host, operate, and maintain all aspects of the NGVID through AWS, stating, "While the infrastructure is provisioned via AWS, the Opus engineering team maintains responsibility to ensure support" (Opus Quote, PDF Page 701). The Committee noted that with AWS and a cloud-based infrastructure, storage is virtually unlimited and cloud-based systems can provide continuous hardware and software refreshes. Additionally, Opus provided two (2) case studies to

demonstrate their expertise on transitioning legacy VIDs to a cloud-based VID. Opus was contracted in early 2020 to provide Cache County, Utah, with “an updated technical solution” and successfully provided 60 inspection stations with new equipment and the implementation of a new data management system on schedule (Opus Quote, PDF Page 435). By utilizing cloud-based AWS solutions, Opus engineers were able to keep to the tight schedule despite delays. Additionally, Opus completed a migration in 2017 in Rhode Island, “utiliz[ing] the multi-platform environment...to seamlessly prepare for and then seamlessly migrate overnight to the cloud-based solution” (Opus Quote, PDF Page 435). The two (2) case studies assisted in the Committee’s discussion of migrating the legacy VID to a cloud-based AWS system. The Committee agreed that Opus’ proposed cloud-based AWS solution, and expertise providing that migration, would allow for successful completion of Blanket P.O. requirements.

Pursuant to Bid Solicitation Section 3.47, *System Maintenance and Support*, maintenance of all hardware, software, and functionality of the NGSystem must be provided. The Committee noted that Opus will offer unlimited software support and agreed that this would be helpful for any issues that may come up with the management console and dashboard (Opus Quote, PDF Page 519). The Committee also noted that all issue management and change order tracking, as well as oversight, will be completed and managed through Microsoft Azure DevOps dashboard (Opus Quote, PDF Pages 520-525). The Committee agreed that having that program to assist with oversight will ensure that any potential issues or problems with software, hardware, or otherwise will not get lost and will effectively get resolved. Additionally, the Committee noted that Opus will provide the required additional 500 hours of programming, allowing unused hours each year to accumulate over the course of the Blanket P.O., as required by Bid Solicitation Section 3.47 (Opus Quote, PDF Page 850). While the Committee discussed that 500 hours can be used rather quickly, the Committee agreed that Opus met the requirements of the Bid Solicitation by stating compliance with providing the additional 500 hours.

The Committee noted that Opus submitted all draft plans required by Bid Solicitation Section 4.4.3.3.6, *Plans Summary*. The Committee reviewed and discussed all draft plans, and agreed that Opus met all requirements of the plans.

Opus submitted the Security Questionnaire and Non-Disclosure Agreement (NDA) with their Quote as required by Bid Solicitation Section 4.4.3.3.3, *Overview of Security Plan and Standards*. Upon review, Opus’ submitted questionnaire provided sufficient detail of Opus’ security management, risk management, and security policy (Opus Quote, Security Questionnaire Attachment, PDF Pages 1-43). Opus’ completed security questionnaire left the Committee with no questions on data management and the Committee determined that Opus exceeded security requirements. Opus provided an exceptional response on its security programs.

The Committee sent a questionnaire to the 18 references that Opus listed in its Quote. Of the 18 references listed, the Committee received a response from 11 of the references, including a response from North Carolina, New York, Indiana, and Tennessee. While some responses were considered more helpful than others to the Committee because of the type of I/M program of the reference, the Committee agreed that the responses confirmed the technical scoring of the Committee for Opus.

The Committee determined Opus’ technical Quote met and exceeded the requirements of the Bid Solicitation and presented an approach that would permit successful performance of the technical requirements of the Blanket P.O.

Opus' experience paralleled with its knowledge and completion of Blanket P.O.s of similar size and scope would be beneficial to the completion of the tasks identified in the Bid Solicitation.

Vendor {Bidder}: Applus

Technical Rank: 2

Average Technical Score: 691

Applus presented a well-organized Quote that ranged from "Good" to "Very Good," that addressed the tasks and deliverables specified in the Bid Solicitation comprehensively.

Criterion A

The Committee determined that Applus presented a Quote to be in the scoring range of "Very Good" for the criterion of *Personnel*, with an average non-weighted score of 7.29 on a scale of 1-10.

Applus proposed a team of highly skilled, experienced, and qualified key personnel for the management of the Blanket P.O. Applus submitted a Quote with a clear, detailed organizational chart that provided the Committee with a straightforward reporting chain for implementation and operations as requested by Bid Solicitation Section 4.4.4.2, *Organization Charts* (Applus Quote, Section 3, PDF Pages 5-8). Per Bid Solicitation Section 4.4.4.3, *Resumes*, resumes for a project manager and a quality assurance manager must be submitted; the proposed project manager must have at least five (5) years of document experience in I/M program implementation experience, and the quality assurance manager must have at least five (5) years of documented experience. Applus proposed key personnel that exceeded the Committee's expectations.

The proposed project manager has 27 years of I/M program development and management experience and holds a project management professional certification. The Committee took note of the proposed project manager's direct experience as operations manager, training manager, and implementation and program manager for multiple Applus contracts, including Illinois, Washington, Missouri, and Indiana (Applus Quote, Section 3, PDF Page 9). The Committee noted that the proposed project manager previously worked for Envirotec Systems Corp. as an Implementation and Program Manager (Applus Quote, Section 3, PDF Page 10). The Committee agreed that the proposed project manager is highly experienced and would assist in successful completion of Blanket P.O. requirements.

The proposed quality assurance manager has 38 years of I/M experience. The Committee took note of the proposed quality assurance manager's direct experience as quality assurance manager for multiple Applus contracts, including Connecticut, Georgia, Idaho, Weber and Salt Lake Counties in Utah, Illinois, and Massachusetts (Applus Quote, Section 3, PDF Page 11). The Committee noted that the proposed quality assurance manager has been the Director of Quality Assurance with Applus since 2008, and prior to employment with Applus, worked for Envirotec as an Information Technology Manager (Applus Quote, Section 3, PDF Page 12). The Committee agreed that the proposed quality assurance manager is highly experienced and would assist in successful completion of Blanket P.O. requirements.

Additionally, the Committee noted that resumes for additional proposed personnel were included in Applus' Quote submission. The Committee noted that the Chief Executive Officer of Applus has 34 years of business management experience, 24 of those years dedicated to the I/M industry, and has provided oversight for I/M implementation in Georgia, Rhode Island, Massachusetts, Connecticut, Washington,

California, and Illinois (Applus Quote, PDF Page 14). The Committee noted that the Director of Applus has 34 years of experience, has been the Director of Applus since 2018, and, as the Committee noted, ran the Oregon program for 11 years (Applus Quote, Section 3, PDF Page 15). The last additional proposed personnel that the Committee noted is the Vice President of Corporate Development, who has 38 years of experience in Vehicle Emissions Testing and managed multiple emissions testing projects, including California, Washington, Minnesota, Pennsylvania, and Illinois (Applus Quote, Section 3, PDF Page 16). Additionally, the Committee noted that the Vice President of Corporate Development has previously worked for Parsons, ESP, Envirotech, and Systems Control as Director of Operations, General Manager, Operations Manager, and Station Manager for centralized and decentralized programs (Applus Quote, Section 3, PDF Page 16). While at MACTEC Engineering and Consulting, the Vice President of Corporate Development was an Oversight Manager and was “responsible for contract management oversight of the New Jersey Vehicle Inspection Program” (Applus Quote, Section 3, PDF Page 16). The Committee agreed that the Vice President’s firsthand knowledge of the New Jersey program would benefit in Applus’ successful completion of Blanket P.O. requirements, and agreed that the experience of the three (3) aforementioned personnel would assist in successful implementation, transition, and maintenance of an enhanced New Jersey program.

The Committee also noted that Applus provided back up staff for the required titles as requested by Bid Solicitation Section 4.4.4.4, *Backup Staff*. However, the Committee did note that not all resumes for the backup staff were provided and that resumes would have been helpful to the Committee to determine if the backup staff met the requirements of the project manager and quality assurance manager.

The Committee determined that the experience of Applus’ personnel indicates that Applus far exceeds the Blanket P.O. requirements.

Criterion B

The Committee determined that Applus presented a Quote in the scoring range of “Very Good” for the criterion of *Experience of the Firm*, with an average non-weighted score of 7.00 on a scale of 1-10.

Applus’ Quote demonstrated that they meet and exceed the Bid Solicitation requirements for experience with contracts of similar size and scope. The Committee noted that Applus “[has] over two (2) decades of demonstrated proficiency in developing comprehensive testing and service solutions for both government agencies and the automotive industry” (Applus Quote, Section 3, PDF Page 34). The Committee also noted that Applus “provides all design, development, and manufacturing of automotive and I/M systems in-house” (Applus Quote, Section 3, PDF Page 34). The Committee agreed that Applus demonstrated their expertise in the comprehensive listing of contracts of similar size and scope.

Per Bid Solicitation Section 4.4.4.5, *Experience with Contracts of Similar Size and Scope*, the Vendor {Bidder} should provide a comprehensive listing of contracts of similar size and scope that it has successfully completed. Applus provided details on 10 contracts that demonstrate Applus’ experience in hybrid and decentralized programs across the country. Additionally, the Committee noted that some of the contracts have been held by Applus for over 10 years – Applus has held the Illinois contract since 2007, and the Connecticut contract since 2003 (Applus Quote, Section 3, PDF Pages 35-51).

The Committee noted that Applus has primarily decentralized and hybrid experience in Illinois, Connecticut, Rhode Island, Idaho, Massachusetts, and Salt Lake and Weber Counties in Utah (Applus Quote, Section 3, PDF Pages 35-51). The Committee noted that many of the aforementioned contracts

have been reawarded to Applus multiple times throughout the contract term, and that, on average, Applus has held the contracts for 12 years with an average of 1,563,889 inspections per year.

Additionally, the Committee noted that Applus has notable experience providing heavy-duty OBD testing in addition to experience providing VID design, development, and maintenance, inspection program maintenance, and OBDII. Pursuant to Bid Solicitation Section 3.24.2, *OBD Test*, in the NGSystem, HDGVs and HDDVs also receive OBD inspections, and Bid Solicitation 3.29.3, *NGWorkstation Hardware Configurations*, all units shall be capable of performing light-duty and heavy-duty OBD inspections. Applus is the “first I/M company in the US to develop OBD emission testing for heavy-duty vehicles,” which, as the Committee noted, would be beneficial to the New Jersey program as there is currently no statutory guidance from the federal Environmental Protection Agency (EPA) and heavy-duty OBD is a requirement of the Bid Solicitation (Applus Quote, Section 3, PDF Page 41). The Committee noted that Applus is working with the Massachusetts Department of Environmental Protection and Registry of Motor Vehicles to develop “the OBD inspection protocols for testing vehicles equipped with SAE J1939 compliant OBD systems” which includes “a system-update of the Applus SmogDADdy OBD scan tool” to record engine emissions data (Applus Quote, Section 3, PDF Page 41). The Committee agreed that Applus’ experience with implementing heavy-duty OBD in the new Massachusetts program would assist in successful completion of Blanket P.O. requirements.

Per Section 4.4.4.5, *Experience with Contracts of Similar Size and Scope*, the Vendor {Bidder} must provide details of any negative actions taken by other contracting entities against them in the course of performing these projects including, but not limited to, receipt of letters of potential default, default, cure notices, termination of services for cause, or other similar notifications/processes. The Committee noted that Applus provided information on two (2) instances in which negative actions were taken against Applus. Applus provided details on being assessed for liquidated damages by Massachusetts during the first contract period, between 1999 and 2008, due to a subcontractor’s failure to perform; Applus accepted full responsibility, addressed the issues, and ceased further partnerships with that particular subcontractor. The Committee noted that Applus was reawarded the I/M program contract by Massachusetts in 2016 (Applus Quote, Section 3, PDF Page 41). Applus also provided information on the suspension of vehicle inspections for the Connecticut program in April of 2004 due to equipment design flaws by the subcontractor who was, at the time, providing the equipment for inspection stations; Applus took full responsibility, provided for repair of equipment flaws, reimbursed repair fees to motorists, and discontinued business with that particular subcontractor. The Committee noted that Applus was reawarded the Connecticut contract in 2011, and has been operating with no further negative actions (Applus Quote, Section 3, PDF Pages 36-37). The Committee noted that while both Connecticut and Massachusetts took negative action against Applus due to a failure to perform by subcontractors, Applus and both states quickly resolved the situations and Applus has discontinued business with the subcontractors.

The Committee determined that the experience of the firm, especially Applus’ experience with implementing heavy-duty OBD in Massachusetts, indicates that Applus could successfully meet the Blanket P.O. requirements.

Criterion C

The Committee determined that Applus presented a Quote to be between the scoring ranges of “Good” and “Very Good” for the criterion of *Ability to Complete the Scope of Work based on its Technical Quote*, with an average non-weighted score of 6.86 on a scale of 1-10.

Applus provided a detailed and structured process to manage, control, and supervise this Blanket P.O. with a thorough approach that demonstrates Applus' understanding of the requirements of the Bid Solicitation. Pursuant to Bid Solicitation Section 3.1, *Implementation*, the program shall be transitioned to the NGSystem within 12 months of the effective date. The Committee noted that Applus is committed to a full transition within 12 months to the NGSystem (Applus Quote, Appendix C, PDF Page 35). The Committee noted that Applus intends to begin staffing efforts immediately after the Blanket P.O. effective date, and will have a Human Resources (HR) team on site to assist with the recruitment and transition of current staff to Applus (Applus Quote, Appendix C, PDF Page 36). Additionally, the Committee noted that Applus recommends initiating a kick-off meeting within one (1) week of Blanket P.O. award, which the Committee agreed would be beneficial to begin the transition and implementation efforts (Applus Quote, Appendix C, PDF Page 5). The Committee also noted that the mobilization and implementation team members are already assigned, which should ensure a smooth mobilization period (Applus Quote, Appendix C, PDF Pages 7-8). The Committee agreed that Applus beginning kick-off meetings in addition to having personnel on site to begin implementation and transition within the first week of the Blanket P.O. effective date would permit successful transition and implementation within the 12 month timeframe.

Pursuant to Bid Solicitation Section 3.4, *Management Console*, a management console that provides access to the NGVID and data functions shall be provided, and pursuant to Section 3.4.1, *Dashboard*, a "dashboard" overview of the NGSystem operations that indicates current testing volumes, historical volumes, and other critical program operational information shall be provided. Applus is proposing utilizing a "web-enabled user interface that uses a Responsive Web Design (RWD) to provide State program administrators with an integrated, single point of entry to the NGVID's functionality, application modules, system administration, program activity, inspection history, subscription services, real-time reporting, [and] analytics" (Applus Quote, Section 2, PDF Page 27). The Committee noted that RWD provides a user interface that automatically adjusts the website to fit the device used to access the system, which the Committee agreed would be helpful in the event of tablets or smartphones being utilized at a workstation. Additionally, the Committee noted that Applus' proposed dashboard will meet the requirements and liked that Applus stated that they will work with the State to customize the dashboard and management console to the State's needs. The Committee agreed that all workstations, whether tablet or PC-based, having the same software, which is possible because of the web-based program and RWD, would be a big advantage for the program.

Pursuant to Bid Solicitation Section 3.13.2.1, *CIF Network and Lane Configuration*, the centralized inspection system currently utilized by the State includes 25 CIFs with a total of 107 inspection lanes. The Committee noted that Applus' draft CIF Network and Lane Configuration Plan states that Applus will provide "two (2) lane configurations, single position lane configurations for those lanes without brake testers and a two-position lane configuration for those lanes equipped for mechanical inspections with brake testers. Of the 107 lanes to be utilized, that means 60 of the 107 lanes not equipped with brake testers will perform the OBD only inspections in a single position in each of the lanes...47 lanes will be equipped with necessary safety inspection equipment, such as the Hunter brake tester, pneumatics lift, and undercarriage camera" to be operated as two (2) positions (Applus Quote, Appendix C, PDF Page 65). The Committee agreed that a single-position lane configuration would meet the requirements of the Bid Solicitation, but also noted that Applus expects throughput for the 60 single-position lanes to be 18 vehicles per hour and agreed that this is a perfect world scenario and the expected throughput of 18 vehicles per hour is optimistic (Applus Quote, Section 2, PDF Page 101). The Committee discussed that, especially in a single-position lane configuration, issues could arise that would decrease the efficiency of the single-position lane and decrease throughput. The Committee noted that Applus' expected

throughput for the two-position lane configuration is 22.7 vehicles per hour, and that the two-position lane configuration is flexible so that it can operate as a single-position when demand for commercial inspections is low (Applus Quote, Section 2/Appendix C, PDF Page 101/65). The Committee agreed that having all lanes retrofitted and able to provide testing inspections would be beneficial to the program as there would be flexibility in having all lanes open at a CIF depending on inspection demand.

However, the Committee did note that Applus is counting on inspection demand and lane utilization to remain relatively consistent. While Applus does state that their experience with centralized programs is that “Saturdays are busy as are the first day of the week and days after holidays [as] often people wait until the end of the month when stickers or registrations are about to expire,” the Committee was not provided with an estimated amount of lanes to be operated daily (Applus Quote, Section 2, PDF Page 105). Applus did acknowledge that there are peak days, months, and hours as demand fluctuates. The Committee determined that while retrofitting all 107 lanes would be beneficial, anticipating all 107 lanes to be operational daily, weekly, or even monthly would not be ideal or cost effective to the program.

Pursuant to Bid Solicitation Section 3.14, *Workforce*, current qualified personnel should be offered employment under the NGSystem. The Committee noted that Applus has an anticipated timeframe of 45 days from the Blanket P.O. effective date to have a count of existing CIF staff that would be committed to transitioning from the current vendor to Applus (Applus Quote, Appendix C, PDF Page 36). The Committee agreed that the expectation of having a count of current CIF staff that will transition to Applus within 45 days of the Blanket P.O. effective date would be doable, but also discussed that only having 45 days to negotiate with the union and recruit additional staff to fulfill the 90-day operations transition timeframe could be tight. However, the Committee did note that Applus does intend to attempt to hire everyone from Parsons, including managers, which would assist in transition and implementation and allow for services to be uninterrupted. Additionally, the Committee noted that Applus, pursuant to Bid Solicitation Section 3.15, *Facility Management*, will staff New Jersey CIF facilities with experienced full time personnel as CIF Manager and Assistant Manager, and will have “one (1) or more of these dedicated managers...assigned to each of the 25 CIFs” (Applus Quote, Section 2, PDF Page 129). The Committee agreed that Applus is meeting the staffing requirements of the Bid Solicitation.

Pursuant to Bid Solicitation Section 3.21.2, *Routine Maintenance and Operations of Buildings and Grounds*, routine service operations, maintenance, and repairs to the buildings and grounds of the CIFs and SIFs are provided at the Vendor’s {Contractor’s} expense. Applus stated that they will, “at its own expense, provide all routine maintenance, repairs, service operations and the utilities for all CIFs and SIFs in the State” (Applus Quote, Section 2, PDF Page 142). The Committee noted that Applus included an overview table of when specific maintenance would be completed, and additionally, noted that Applus would be utilizing small business subcontractors to provide interior and exterior facility maintenance.

Pursuant to Bid Solicitation Section 3.24.2, *OBD Test*, in the NGSystem, HDGVs and HDDVs also receive OBD inspections, and pursuant to Bid Solicitation Section 3.29.3, *NGWorkstation Hardware Configurations*, all units shall be capable of performing light-duty and heavy-duty OBD inspections. The Committee noted that Applus’ proposed OBD scan tool, Smog DADdy, would be utilized in all NGWorkstations and can support “OBD compliant light-duty vehicles up to 8,500 pounds GVWR as well as medium and heavy-duty diesel vehicles up to 14,000 pounds GVWR, including hybrid vehicles, and 2014 and newer heavy-duty vehicles greater than 14,000 pounds” (Applus Quote, Section 2, PDF Pages 173-174). The Smog DADdy OBD tool also maintains a 99.9% communication rate with vehicles (Applus Quote, Section 2, PDF Page 174).

Pursuant to Bid Solicitation Section 3.39, *NGVID Overview*, all components of the NGVID must be supplied or developed. Applus' proposed solution is to utilize "a secure cloud-based platform provided by Internap and CoreSite" (Applus Quote, Section 2, PDF Page 214-215). Applus is proposing an NGVID that consists of several servers and firewall devices, and will utilize Anturis, Oracle Enterprise Manager, Oracle Specific Monitoring, and VMWare Vsphere 6.0 platforms to monitor system capacity and performance (Applus Quote, Appendix C, PDF Page 223). The Committee noted that the NGVID software will be delivered on a web-based user interface with RWD, which would provide the State with "an integrated single point of entry to the VID's functionality, application modules, system administration, program activity, inspection history, program documentation, Change Management Tool, subscription services, real-time reporting, [and] analytics" (Applus Quote, Appendix C, PDF Page 224). Additionally, the Committee noted that Applus will be designing, implementing, and maintaining an Oracle based NGVID for New Jersey, which will function on a real-time basis. The Committee agreed that Applus' cloud and web-based NGVID platform would allow for successful completion of Blanket P.O. requirements.

Pursuant to Bid Solicitation Section 3.47, *System Maintenance and Support*, maintenance of all hardware, software, and functionality of the NGSystem must be provided. The Committee noted that Applus will "provide ongoing maintenance of all hardware, Operating Systems, software, and functionality" (Applus Quote, Section 2, PDF Page 324). The Committee also noted that Applus is providing "1,000 hours for programming services per year for changes to the NGVID or NGWorkstation," which exceeds the requirement of 500 hours in Bid Solicitation Section 3.47 (Applus Quote, Section 2, PDF Page 324). Applus will also permit unused hours to accrue and roll over. Additionally, the Committee noted that Applus will utilize a multi-tiered service approach for the NGSystem to provide maintenance and support. Applus' multi-tiered service approach begins with remote support and will escalate to a field technician being dispatched if the issue cannot be resolved remotely or with a new component (Applus Quote, Section 2, PDF Pages 325-326). Applus stated that the average response time for resolving issues is one (1) hour, which the Committee agreed would be beneficial in preventing a long lane or system downtime when issues arise (Applus Quote, Section 2, PDF Page 326). The Committee agreed that having continuous support and the additional 500 programming hours will assist in successful completion of Blanket P.O. requirements.

The Committee noted that Applus submitted all draft plans required by Bid Solicitation Section 4.4.3.3.6, *Plans Summary*. The Committee reviewed and discussed all draft plans, and agreed that Applus met all requirements of the plans.

Applus submitted the Security Questionnaire and NDA with their Quote. Upon review, Applus' submitted questionnaire provided sufficient detail of Applus' security processes, policies, and management (Applus Quote, Section 6, PDF Pages 1-43). Applus provided an exceptional response on its security programs.

The Committee sent a questionnaire to the seven (7) references that Applus listed in its Quote. Of the seven (7) references listed, the Committee received a response from six (6) of the references, including Massachusetts. The Committee noted that the response received from Massachusetts was not detailed to the extent that the Committee would have liked to see, especially since Applus listed heavy-duty OBD experience with the Massachusetts program. Overall, the Committee determined that the questionnaire responses confirmed the technical scoring provided for Applus.

The Committee determined Applus' technical Quote met the requirements of the Bid Solicitation and presented an approach that would permit successful performance of the technical requirements of the Blanket P.O.

Applus' experience paralleled with its knowledge and completion of Blanket P.O.s of similar size and scope would be beneficial to the completion of the tasks identified in the Bid Solicitation.

VII. TECHNICAL ANALYSIS OF THE PRICE QUOTE

A. Best and Final Offer (BAFO)

In accordance with Bid Solicitation Section 6.8, *Negotiation and Best and Final Offer (BAFO)*, the Bureau requested a BAFO from Applus and Opus on Monday, October 4, 2021, with responses due by Tuesday, October 12, 2021. The Vendors {Bidders} provided BAFO responses by the due date.

B. Price Quote Evaluation Methodology

Pursuant to Bid Solicitation Section 4.4.5.2, the Vendor {Bidder} must complete all of the price lines on the price sheet/schedule for each of the six (6) base term years and four (4) optional extension term years (refer to Section 5.2 of the Bid Solicitation) of the Blanket P.O. The Price Lines were as follows:

Line 1: All NGVID Required Documents – Total Cost Only;
 Line 2: Design, Development, and Implementation – Total Cost Only;
 Line 3: NGWorkstation (PC Based) – Input pricing for a single unit in year 1 column. Total cost for 1250 units needed for years 1-10 of the Blanket P.O.;
 Line 4: NGWorkstation (Tablet based) – Input pricing for a single unit in year 1 column. Total Cost for 1250 units needed for years 1-10 of the Blanket P.O.;
 Line 5: NGWorkstation (Laptop based): Input pricing for a single unit in year 1 column. Total Cost for 1250 units needed for years 1-10 of the Blanket P.O.;
 Line 6: Inspection Transaction fee for PIFS and PFFs (days 91-365, maintenance only) – Pricing for Year 1 Only;
 Line 7: Inspection Transaction fee for PIFs and PFFs (including NGVID and all maintenance) – Annual pricing for Years 2-10;
 Line 8: Training State Staff on NGSystem (Price per Employee) – Annual pricing for Years 1-10;
 Line 9: CIF Retrofit – Annual pricing for Years 1-10;
 Line 10: Cost per inspections at CIFs (days 91-365) – Pricing for Year 1 Only;
 Line 11: Cost per inspection at CIFs – Annual pricing for Years 2-10
 Lines 12 through 20: Miscellaneous Hourly Rates – All-Inclusive Hourly Rates for Years 1-10;
 Lines 21 through 30: PIF/PFF Replacement Equipment – Annual pricing for Years 1-10; and
 Line 31: Other – The Vendor {Bidder} shall not submit a price on this line. This includes additional equipment that may be needed during term of the Blanket P.O. and will be used only during post-award.

C. Pricing Summary

The Committee reviewed and evaluated the BAFO pricing submitted based on total Quote cost found on the price sheet. The pricing summary is as follows:

Vendor {Bidder}	Total Original Quote Cost	Total BAFO Quote Cost	% Difference	Technical Ranking	Price Ranking
Opus	\$121,628,337.50	\$121,515,837.50	.09%	1	1
Applus	\$173,558,268.00*	\$173,048,736.94*	.29%	2	2

*Pursuant to N.J.A.C 17:12-2.11(d), if an arithmetic disparity is discovered between the unit price and the total extended price, the unit price shall prevail. If there is any other ambiguity in the pricing other than a disparity between the unit price and extended price and the bidder's intention is not readily discernable from other parts of the proposal, the Director may seek clarification from the bidder to ascertain the true intent of the proposal. An arithmetic disparity was discovered on Applus' State-Supplied Price Sheet. The total Quote cost listed above came from the total Quote price on the State-Supplied Price Sheet and State-Supplied BAFO Price Sheet; however, it should be noted that when the unit price was put into a copy of the Excel Price Sheet, the total cost for certain lines calculated differently than what Applus had input on their submitted Price Sheet. The difference was *de minimus* for the erroneous Price Lines (LIST PRICE LINES HERE), and had no impact on the final ranking.

Per Section 6.7.2 of the Bid Solicitation, Vendors {Bidders} were ranked from lowest to highest according to the total Quote price located on the State-Supplied Price Sheet. Price Lines 12-20, Miscellaneous Hourly Rates, and Price Lines 21-30, PIF/PFF Replacement Equipment, were reviewed for cost reasonableness.

The Division's Pricing Analyst reviewed the pricing submitted by the two (2) responsive Vendors {Bidders} and determined that Opus provided the most competitively priced Quote cost, and consistently priced each line of the Price Sheet below the competing offer. The Pricing Analyst determined that the average bid price of the two (2) responsive Vendors {Bidders} was \$147.2 million, with Opus' proposed total Quote cost being -17% from the average bid price. Further, the Pricing Analyst determined that the difference in total Quote cost between Opus and Applus came down to the proposed unit price per inspection, accounting for a \$40,000,000 cost variance between the two Vendors {Bidders}. Overall, the Pricing Analyst determined that there are no immediate concerns on Opus' pricing despite the disparity in total Quote costs.

The Division's Financial Analyst reviewed financial statements provided by Opus and determined that Opus is financially sound to meet the requirements of the Blanket P.O.

VIII. RECOMMENDATION

The Committee has completed its evaluation of the responsive Quotes in response to the Bid Solicitation and recommends that the Blanket P.O. resulting from Bid Solicitation 20DPP00471 T1628 Enhanced Motor Vehicle Inspection Maintenance System be awarded to OPUS Inspection Inc.

As outlined in Section VI, *Technical Evaluation Summary Narrative*, of this Evaluation Report, the Bureau determined that Opus exceeded the Committee's expectations with their technically superior personnel, experience, and methodology for completing the scope of work. The Committee took note of the impressive number of programs run by Opus, in addition to the number of Opus programs that key personnel have participated in. Additionally, the Committee appreciated that key personnel for Opus have firsthand knowledge of the New Jersey program and determined that Opus demonstrated the required

experience and ability to complete the scope of work. Opus is technically responsive, accurately and efficiently understood the Bid Solicitation requirements, and is competent to successfully complete the required scope of work.

The Committee is satisfied with Opus' demonstration of how they would successfully perform the requirements of the Blanket P.O. It is for these reasons that the Committee is recommending Opus for Blanket P.O. award.

**EVALUATION COMMITTEE REPORT SIGNATURES
BID SOLICITATION 20DPP00471
T1628 Enhanced Motor Vehicle Inspection Maintenance System**

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Division of Purchase and Property

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Motor Vehicle Commission

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

N.J.S.A. 52:34-10.3(c) Names of Evaluation Committee Members

Department of Environmental Protection

STATE OF NEW JERSEY DEPARTMENT OF THE TREASURY DIVISION OF PURCHASE AND PROPERTY			RECOMMENDATION REPORT		
T/R/M/G NUMBER: T1628		BID SOLICITATION NUMBER: 20DPP00471		BLANKET P.O. NUMBER: N/A	
TO: Maurice Griffin, Acting Director FROM: Juliana Pastuzyn, Administrative Analyst 3			BID SOLICITATION TITLE: T1628 Enhanced Motor Vehicle Inspection Maintenance System		
REPORT DATE:	ADVERTISING DATE:	QUOTE OPENING DATE:	# OF QUOTES RECEIVED:	ESTIMATED CONTRACT VALUE:	CURRENT EXPIRATION DATE:
12/02/2021	08/28/2019 N/A ☐	07/21/2021 N/A ☐	3 N/A ☐	\$199,776,338 N/A ☐	11/05/2022 N/A ☐

Recommendation Type(s):

- | | | |
|--|---|--|
| ☒ New Award | ☐ Blanket P.O. Extension | ☐ Bid Solicitation Cancellation |
| ☐ Supplemental Award | ☐ 5.3 Blanket P.O. Extension | ☐ Blanket P.O. Termination |
| ☐ Blanket P.O. Change Order | ☐ 3.2 Blanket P.O. Extension | ☐ Blanket P.O. Assignment |
| ☐ Sole Bidder | ☐ Blanket P.O. Transition | |
| ☐ | | |
| Other: _____ | | |

Recommendation and Justification:

I recommend that a Master Blanket Purchase Order (Blanket P.O.) for the implementation of the next generation Motor Vehicle Inspection and Maintenance program for the Motor Vehicle Commission (MVC) and Department of Environmental Protection (DEP) be awarded to OPUS Inspection Inc. (Opus).

The Bureau has completed its evaluation of the responsive Quotes received and determined that the Vendor {Bidder} satisfied all the requirements of the Bid Solicitation and represents the most advantageous offer to the State, price and other factors considered. The term of the Blanket P.O. is for a period of six (6) years with the option to extend up to four (4) years with no single extension exceeding one (1) year. The approximate cost of this Blanket P.O. is \$199,776,338.

The State Contract Manager will be:

James Walker
Deputy Administrator
Motor Vehicle Commission
James.Walker@mvc.nj.gov
(609)-777-1637 x71637

I. PROCUREMENT OVERVIEW**A. PURPOSE AND INTENT****INCLUDE SUPPORTING DOCUMENTATION WITH THIS RECOMMENDATION REPORT**

APPROVALS:	DocuSigned by: <i>Lisa Leonardi</i> 12/3/2021
	DocuSigned by: 52FAD9B5BC423185 <i>Gregg Olivera</i> 12/7/2021
	DocuSigned by: 085169C7D1851B5 <i>Maurice Griffin</i> 12/8/2021
	DocuSigned by: 0A021813FB6240 <i>Director</i> / Date
_____ Procurement Lead / Date	
_____ Bureau Counsel / Date	
_____ Procurement Supervisor / Date	

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The purpose of this Bid Solicitation was to solicit Quotes for implementing the next generation Motor Vehicle Inspection and Maintenance program (NGSystem). The Inspection and Maintenance (I/M) program is the mandatory periodic inspections of vehicles to assure compliance with standards established by the State and the federal government.

B. BACKGROUND

The Clean Air Act (CAA) Amendments of 1990 gave the United States Environmental Protection Agency (EPA) the authority to require metropolitan areas designated as serious, severe or extreme non-attainment for carbon monoxide or ozone to implement a I/M program. In New Jersey, MVC and DEP are State partners in the effort to protect the health and safety of New Jersey residents by overseeing the I/M program. The I/M program has gone through many changes since its inception over 81 years ago, when it was introduced as a vehicle safety initiative. Many of these changes are due to the passage and amendment of various State and federal laws and regulations, including the CAA Amendment of 1990. A brief history of recent program changes is outlined below.

The enhanced version of the I/M program was adopted on August 28, 1995. This program is an integral part of New Jersey's compliance plan with the National Ambient Air Quality Standards (NAAQS), and a component of the State Implementation Plan (SIP) which is designed to attain and maintain the health-based NAAQS for ozone, fine particulate matter, and carbon monoxide, thereby improving air quality and protecting the health and safety of the State's residents as well as the environment. Although the MVC operates the I/M program, DEP is the lead agency responsible for ensuring the State meets the mandates of the CAA, its amendments and federal regulations. Further, DEP is charged with monitoring compliance with the SIP.

In August 1998, the State of New Jersey awarded a contract to privatize the centralized vehicle inspection program. The contractor retrofitted/built and equipped 132 inspection lanes, designed and built a vehicle inspection database, and assumed the operation of the Centralized Inspection Facilities (CIFs). Private Inspection Facilities (PIFs) remained as part of New Jersey's I/M program.

The I/M program also has a diesel component that requires all heavy-duty diesel vehicles (HDDV), over 17,999 lbs. receive a visible smoke test, opacity test and after treatment indicator light checks which can be conducted by any PIF or Private Fleet Facility (PFF).

The current I/M program is considered a Hybrid System, meaning it utilizes both centralized test-only inspection sites and PIFs. There are approximately 2,100,000 emission inspections performed annually.

The current inspection network is made up of three (3) components: centralized facilities; State- staffed inspection teams; and PIFs. These components function as follows:

- A. Centralized Inspection Facility (CIF) – The State funds this program's operation and the Vendor's {Contractor's} staff conducts the inspections. According to the 2017 New Jersey I/M Annual Report (Table 1 in above referenced link), 89.5% of emission inspections are performed at approximately 25 CIFs currently located throughout the State.
- B. The State operates and staffs 75 Mobile Inspection Teams (MITs) which include diesel roadside teams, and bus inspection teams, for both commercial buses and school buses. The State also performs diesel roadside inspection which test for smoke opacity using approximately three (3) mobile workstations to perform approximately 103,000 mobile inspections per year.
- C. Specialty Inspection Facility (SIF) – The State operates and staffs three (3) one-lane specialty facilities to conduct specialized inspections, which include: salvage inspections on vehicles declared a "total loss" by insurance companies; other inspections such as retired buses and other specialty vehicles; and to resolve customer disputes. The current Vendor {Contractor} supplied all the workstations and maintains the equipment.
- D. Private Inspection Facilities (PIFs) – The current Vendor {Contractor} supplies and maintains the equipment and the business owner operates the equipment and maintains the facility. PIFs include:
 - a. Private Inspection Facilities (PIF) – The program includes 1,173 licensed private facilities that provide emission inspection services. These facilities are open to the public. Some PIFs also offer repair services for mechanical failure issues and, if specifically registered with the State, may offer emission repair services.

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- b. Private Fleet Facilities (PFF) – The program includes 110 licensed facilities that provide mechanical and emission inspections services for vehicles of private fleet owners (10 or more vehicles) and are not open to the public.
- c. Emission Repair Facilities (ERF) – Approximately, 874 ERFs are registered by MVC to perform emission repairs on vehicles rejected during inspection. These independently-owned, registered shops must have at least one (1) State-certified Emission Repair Technician (ERT), specially trained in motor vehicle emissions repair, to perform or supervise these repairs.

II. PROCUREMENT PROCESS

A. OVERVIEW

The subject Bid Solicitation 20DPP00471 was publicly advertised and displayed on the Division's e-procurement website (www.njstart.gov) for download by interested parties on August 28, 2019. The Bid Solicitation was sent separately to all Vendors {Bidders} registered in the e-procurement system to the relevant commodity codes.

In accordance with Bid Solicitation Section 1.3.4, *Mandatory Site Visit*, a Mandatory Site Visit was scheduled for September 15, 2019.

In accordance with Bid Solicitation Section 1.3.4, *Mandatory Site Visit*, additional Optional Site Visits were scheduled for November 18, 19, 20, and 21, 2019. Those Optional Site Visits were condensed into two (2) days, November 18, 2019, and November 20, 2019, in an email sent to all potential Vendors {Bidders} that attended the Mandatory Site Visit with an updated schedule on November 18, 2019.

In accordance with Bid Solicitation Section 1.3.1, *Electronic Question and Answer Period*, an electronic portal enabling the Bureau to receive questions electronically was available to all potential Vendors {Bidders} until 2:00P.M. EST on September 18, 2019.

In accordance with Bid Solicitation Section 1.3.1, *Electronic Question and Answer Period*, an electronic portal enabling the Bureau to receive questions electronically was available to all Vendors {Bidders} for an additional round of Questions until 2:00 p.m. on June 1, 2020.

In accordance with Bid Solicitation Section 1.3.1, *Electronic Question and Answer Period*, an electronic portal enabling the Bureau to receive questions electronically was available to all Vendors {Bidders} for a third round of Questions until 2:00 p.m. on March 12, 2021.

19 Bid Amendments were issued for this Bid Solicitation:

Bid Amendment #	Date Issued	Contents
Bid Amendment 1	September 17, 2019	Attendee Sign-In Sheet from Mandatory Site Visit.
Bid Amendment 2	October 29, 2019	Quote opening date extended from November 7, 2019, to December 5, 2019; Information on Additional Optional Site Visits.
Bid Amendment 3	November 12, 2019	Quote opening date extended from December 5, 2019, to January 15, 2020; Schedule for Additional Optional Site Visits.
Bid Amendment 4	December 27, 2019	Quote opening date extended from January 15, 2020, to February 28, 2020; Answers to a portion of Vendor {Bidder} electronic Q&A; Revised Bid Solicitation dated 12/27/2019; Attendee Sign-In Sheet from Optional Site Visit.
Bid Amendment 5	February 10, 2020	Quote opening date extended from February 28, 2020, to April 28, 2020.

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Bid Amendment 6	March 18, 2020	Quote opening date extended from April 28, 2020, to May 28, 2020; Answers to a portion of Vendor {Bidder} electronic Q&A; Revised Bid Solicitation dated 03/18/2020; Revised Price Sheet dated 03/18/2020.
Bid Amendment 7	May 15, 2020	Quote opening date extended from May 28, 2020, to August 7, 2020; Revised Bid Solicitation dated 05/15/2020.
Bid Amendment 8	July 13, 2020	Quote opening date extended from August 7, 2020, to October 9, 2020.
Bid Amendment 9	August 19, 2020	Answers to remaining Vendor {Bidder} electronic Q&A.
Bid Amendment 10	September 18, 2020	Quote opening date extended from October 9, 2020, to November 10, 2020.
Bid Amendment 11	October 27, 2020	Quote opening date extended from November 10, 2020, to January 13, 2021; File attachment "T1628 Xip File Thruput Wait Time MM-YY" uploaded.
Bid Amendment 12	December 21, 2020	Quote opening date extended from January 13, 2021, to February 26, 2021.
Bid Amendment 13	February 9, 2021	Quote opening date extended from February 26, 2021, to June 11, 2021.
Bid Amendment 14	March 1, 2021	Answers to remaining Vendor {Bidder} electronic Q&A; Revised Bid Solicitation dated 03/01/2021; Revised Price Sheet dated 03/01/2021; Revised Appendix 3.2H dated 03/01/2021.
Bid Amendment 15	April 6, 2021	Answers to remaining Vendor {Bidder} electronic Q&A.
Bid Amendment 16	April 26, 2021	Revised Bid Solicitation dated 04/26/2021; State of New Jersey Third-Party Information Security Questionnaire uploaded.
Bid Amendment 17	May 18, 2021	Revised Price Sheet dated 05/18/2021.
Bid Amendment 18	June 4, 2021	Quote opening date extended from June 11, 2021, to July 7, 2021; revision to Bid Amendment #15.
Bid Amendment 19	June 29, 2021	Quote opening date extended from July 7, 2021, to July 21, 2021.

B. QUOTE SUBMISSION

On May 25, 2021, Parsons Commercial Technology (Parsons) submitted a challenge to the following specifications of the Bid Solicitation:

1. Parsons is at a disadvantage with respect to Quote pricing because it has specific information regarding maintenance, repairs, and renovations that are needed at the various inspection facilities;
2. That inaccurate/incomplete information has been provided to potential Vendors {Bidders} with respect to the requirement to hire the current inspection workforce;
3. There was no information included in the Bid Solicitation regarding required COVID protocols; and
4. The Bid Solicitation failed to include or reference new and emerging technologies.

On June 4, 2021, the Division of Purchase and Property's (Division) Hearing Unit issued a Final Agency Decision (FAD) that determined that the Bid Solicitation conformed with applicable regulations, and there would be no amendment to the specifications of the Bid Solicitation.

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On June 23, 2021, the Service Employees International Union, Local 32B-J (SEIU) submitted a challenge to the workforce specifications of the Bid Solicitation, urging the State to modify Bid Solicitation Section 3.14, *Workforce*, as follows:

The most critical component to a successful centralized lane operation is a competent, experienced, and well-trained workforce of inspectors and managers. To ensure that there is a seamless and uninterrupted transition from the current inspection program to the new program, the contractor shall give all qualified personnel of the current vendor the right of first refusal with regard to employment under the new contract, in order of seniority. In order to encourage the current trained and qualified workforce to continue in employment and to avoid disruption in service, contractor shall maintain the current prevailing level of wages, health and retirement benefits and the monetary equivalent of the other terms and conditions of employment, as established in the collective bargaining agreement between the current vendor and the exclusive majority collective bargaining representative of the employees of the current vendor.

On June 29, 2021, the Division's Hearing Unit issued a FAD that determined there would be no amendment to the specifications in Section 3.14, *Workforce*, of the Bid Solicitation, as the requirements represent the current needs of the MVC as established by subject matter experts.

On July 21, 2021, the Proposal Review Unit (PRU) received and publicly opened three (3) Quotes from the following firms:

1. Applus Technologies, Inc. (Applus);
2. OPUS Inspection Inc. (Opus); and
3. Parsons.

The three (3) Quotes were deemed to be initially responsive by the PRU and released to the Bureau on July 22, 2021, for further review of compliance with mandatory requirements specific to the Bid Solicitation.

C. QUOTE REVIEW

The Bureau found that the following Quotes met, and were in compliance with, all the mandatory requirements specific to the Bid Solicitation:

1. Applus; and
2. Opus.

The Bureau found the following Quotes non-responsive due to non-compliance with all the mandatory requirements of the Bid Solicitation:

1. Parsons:
 - a. The Bureau determined Parsons to be non-responsive due to the Source Disclosure Form. Parsons' submitted Source Disclosure Form stated that services would be provided in Canada. Specifically, Parsons cited that software development would be performed in Canada, for operational efficiency and cost reduction. The Bureau determined that these reasons are contrary to the legislative mandate of N.J.S.A. 52:34-13.2, and contrary to New Jersey State Standard Term and Condition 3.6 in the Bid Solicitation, which both state that, in a contract primarily for services, the services must be performed within the United States.

In accordance with Section 6.4, *Clarification of Quote/State's Right to Request Further Information*, of this Bid Solicitation, the Bureau requested clarification as follows:

1. Applus
 - a. The Bureau issued a clarification request on August 3, 2021, requesting clarification as follows: "Price Line #8 instructions indicated that the Vendor {Bidder} must fill out annual pricing for years 1-10 for Training State Staff on NGSystem. The State is requesting clarification on the extension year pricing for Price Line #8, as they were not filled out by Applus. To assist the Director in ascertaining the true intent of Applus Technologies, Inc.'s proposal, please clarify whether the empty blanks in Price Line #8 on your Company's

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price sheet submitted with your Quote is intended to be a "No Charge" or "No Bid" submission, or has some other meaning for this price line.

Price Line #9 instructions indicated that the Vendor {Bidder} must fill out annual pricing for years 1-10 for CIF Retrofit. To assist the Director in ascertaining the true intent of Applus Technologies, Inc.'s proposal, please clarify whether the empty blanks in Price Line #9 on your Company's price sheet submitted with your Quote is intended to be a "No Charge" or "No Bid" submission, or has some other meaning for this price line."

Applus responded to the clarification request on August 5, 2021, stating, "The empty blanks during the extension Years 7 through 10 in Price Line #8 on the price sheet submitted with our quote are intended to be 'No Charge.'" Additionally, Applus stated, "The empty blanks during Years 2 through 10 in Price Line #9 on the price sheet submitted with our quote are intended to be 'No Charge.'"

The Bureau reviewed Applus' clarification response and determined that Applus was responsive.

2. Parsons

- a. The Bureau issued a clarification request on August 3, 2021, requesting clarification as follows:
"Price Line #8 instructions indicated that the Vendor {Bidder} must fill out annual pricing for years 1-10 for Training State Staff on NGSystem. The State is requesting clarification on year 1 and extension year pricing for Price Line #8, as they were not filled out by Parsons. To assist the Director in ascertaining the true intent of Parsons Environmental and Infrastructure Group, Inc.'s proposal, please clarify whether the empty blanks in Price Line #8 on your Company's price sheet submitted with your Quote is intended to be a "No Charge" or "No Bid" submission, or has some other meaning for this price line.

Price Line #9 instructions indicated that the Vendor {Bidder} must fill out annual pricing for years 1-10 for CIF Retrofit. To assist the Director in ascertaining the true intent of Parsons Environmental and Infrastructure Group, Inc.'s proposal, please clarify whether the empty blanks in Price Line #9 on your Company's price sheet submitted with your Quote is intended to be a "No Charge" or "No Bid" submission, or has some other meaning for this price line."

Parsons responded to the clarification request on August 9, 2021, stating, "All blanks for those line[s] [are] at No Charge."

The Bureau reviewed Parsons' clarification response and determined that Parsons appropriately completed the Price Sheets sections that were the subject of the clarification request.

The remaining two (2) responsive Quotes were then further evaluated by the Evaluation Committee (Committee).

D. TECHNICAL EVALUATION SUMMARY

A detailed technical narrative can be found in the Evaluation Committee report. The technical narrative represents a summary of the findings of the Bureau for the two (2) responsive Quotes received. The narrative should be read as a summary, highlighting important Committee findings, which justified the technical score of the Quotes.

The following table provides a summary of the total weighted and average scores for all voting Committee members combined for each of the three (3) evaluation criteria:

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Vendor {Bidder}	Criterion A Personnel (10%) (Max 700pts)	Criterion B Experience of Firm (10%) (Max 700pts)	Criterion C Ability of Firm to Complete the Scope of Work Based on its Technical Quote (80%) (Max 5600pts)	Total Technical Score (Max 7000pts)	Average Technical Score (Max 1000pts)	Ranking
Opus	510	500	3840	4850	693	1
Applus	510	490	3840	4840	691	2

In evaluating the responsive Quotes, the Committee considered the evaluation criteria identified in Bid Solicitation Section 6.7.1, *Technical Evaluation Criteria*, to score how well the Quotes met the Bid Solicitation requirements.

E. PRICING ANALYSIS

1. BEST AND FINAL OFFER

In accordance with Bid Solicitation Section 6.8, *Negotiation and Best and Final Offer (BAFO)*, the Bureau sent Applus and Opus a Best and Final Offer on Monday, October 4, 2021, with a requested due date of Tuesday, October 12, 2021. The Vendors {Bidders} provided BAFO responses by the due date.

The following table provides a summary of the original pricing, BAFO pricing, and percent change submitted by the Vendors {Bidders}:

Vendor {Bidder}	Total Original Quote Cost	Total BAFO Quote Cost	% Difference	Technical Ranking	Price Ranking
Opus	\$121,628,337.50	\$121,515,837.50	.09%	1	1
Applus	\$173,558,268.00*	\$173,048,736.94*	.29%	2	2

*Pursuant to N.J.A.C 17:12-2.11(d), if an arithmetic disparity is discovered between the unit price and the total extended price, the unit price shall prevail. If there is any other ambiguity in the pricing other than a disparity between the unit price and extended price and the bidder's intention is not readily discernable from other parts of the proposal, the Director may seek clarification from the bidder to ascertain the true intent of the proposal. An arithmetic disparity was discovered on Applus' State-Supplied Price Sheet. The total Quote cost listed above came from the total Quote price on the State-Supplied Price Sheet and State-Supplied BAFO Price Sheet; however, it should be noted that when the unit price was put into a copy of the Excel Price Sheet, the total cost for certain lines calculated differently than what Applus had input on their submitted Price Sheet. The difference was *de minimus* for the erroneous Price Lines 3, 4, 5, 6, 10, and 11, and had no impact on the final ranking.

Per Section 6.7.2 of the Bid Solicitation, Vendors {Bidders} were ranked from lowest to highest according to the total Quote price located on the State-Supplied Price Sheet. Price Lines 12-20, Miscellaneous Hourly Rates, and Price Lines 21-30, PIF/PFF Replacement Equipment, were reviewed for cost reasonableness.

The Division's Pricing Analyst reviewed the pricing submitted by the two (2) responsive Vendors {Bidders} and determined that Opus provided the most competitively priced Quote cost, and consistently priced each line of the Price Sheet below the competing offer. The Pricing Analyst determined that the average bid price of the two (2) responsive Vendors {Bidders} was \$147.2 million, with Opus' proposed total Quote cost being -17% from the average bid price. Further, the Pricing Analyst determined that the difference in total Quote cost between Opus and Applus came down to the proposed unit price per inspection, accounting for a \$40,000,000 cost variance between the two Vendors {Bidders}. Overall, the Pricing Analyst determined that there are no immediate concerns on Opus' pricing despite the disparity in total Quote costs.

III. RECOMMENDATION SUMMARY

**STATE OF NEW JERSEY
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RECOMMENDATION REPORT

The Bureau has completed its evaluation of the responsive Quotes received in response to the Bid Solicitation and recommends that a Blanket P.O. resulting from Bid Solicitation 20DPP00471, T1628 Enhanced Motor Vehicle Inspection Maintenance System, be awarded to OPUS Inspection, Inc.

As outlined in Section VI, *Technical Evaluation Summary Narrative*, of the Evaluation Committee Report, the Bureau determined that the Vendor {Bidder} exceeded the Committee's expectations. The Vendor {Bidder} was technically responsive, understood the Bid Solicitation requirements, and is competent in successfully completing the required scope of work. Opus' Quote demonstrated that they accurately and efficiently understood the requirements of the Bid Solicitation and are capable of providing the services required. As a result, the Vendor {Bidder} satisfied all requirements of the Bid Solicitation and represents the most advantageous offer to the State, price and other factors considered.

The Division's Pricing Analyst reviewed the pricing submitted by the recommended Vendor {Bidder} and determined that the pricing from the recommended Vendor {Bidder} appears to be within reason and provided the most competitively priced Quote.

The recommended Vendor {Bidder} met the security overview requirements of Bid Solicitation Section 4.4.3.3.3, *Overview of Security Plan and Standards*.

The Division's Financial Analyst reviewed the financial documentation submitted by the recommended Vendor {Bidder} and found the Vendor {Bidder} to have the financial resources to meet the needs of the Bid Solicitation.

Approval to exempt from a full Small Business Set-Aside in favor of a Small Business Subcontracting Set-Aside was confirmed on November 22, 2021. This Blanket P.O. is a subcontracting set-aside for small businesses.

Office of Information Technology (OIT) approval was received on October 23, 2018.

Office of Management and Budget (OMB) approval was received on January 16, 2019, and confirmed on November 19, 2021.

Treasurer's Approval was received on April 17, 2019.

Office of State Comptroller (OSC) approval was received on August 27, 2019.

A performance bond is not required by this Bid Solicitation.

Retainage for this Blanket P.O. is set at 10% per invoice.

Opus is not currently on the New Jersey Suspension and Debarment list as produced by the Division of Property Management and Construction (DPMC). Opus is not currently listed on the Federal Exclusions list on SAM.gov as produced by the Office of Federal Contract Compliance Programs through the federal Department of Labor.

There are no complaints on file for the recommended Vendor {Bidder} with the Division's Contract Compliance and Audit Unit (CCAU).

The recommended Vendor {Bidder} has submitted the following forms required by this Bid Solicitation:

- Business Registration;
- MacBride Principles as included on the Offer and Acceptance Page;
- Ownership Disclosure;
- Disclosure of Investment Activities in Iran Form;
- Disclosure of Investigations and Actions Involving the Vendor {Bidder}; and
- Source Disclosure.

Compliance with Chapter 51 and Affirmative Action requirements will be completed prior to issuance of a Blanket P.O. Compliance with insurance requirements will be completed prior to commencement of services.

FILED, Clerk of the Appellate Division, September 16, 2022, **A-003331-21**, **AMENDED**

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RECOMMENDATION REPORT

PREPARED BY:

DocuSigned by:

Juliana Pastuzyn

Juliana Pastuzyn
Administrative Analyst 3

DATE:

12/2/2021